

# Outsiders at the Window: How the City's Émigré Houses Were Made Foreign in 1914

Introduction to Digital History (HSS207/DHS211)

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June 2026

## Abstract

The great foreign families of the City of London, houses like Schröder, Huth, Kleinwort, and Rothschild, are usually remembered as outsiders slowly let into British finance. This paper tests that picture against the Bank of England's records of who borrowed from it in three financial crises: 1857, 1866, and 1914. From the transaction ledgers I build a small biographical database of the borrowing houses and tag each by where its family came from. The ledgers do not show outsiders. They show a steady, trusted minority of foreign origin houses that borrowed in every crisis, sat among the largest names at the window, had their bills accepted as readily as anyone's, and paid the ordinary price for their size, not more for being foreign. They did not dominate the Bank's lending, but that is not the test. The question is whether they were kept at the edge, and they were not. Their importance peaked in 1914, when London acted as a discount window for banks across the world. Yet within months the same houses were being called enemies and aliens in Parliament, and some were closed down or made to change their names. The paper sets two records side by side: the ledgers, read with simple data and network methods, show integration, while the wartime debates, read with text mining, show exclusion. The "outsider" status of these houses was never an economic fact. It was political, and it came suddenly in 1914.

*A note for the reader: this paper uses a few terms from nineteenth century banking and from network analysis. I explain each one the first time it appears, and there is a short glossary at the end.*

## 1. Introduction

In the first days of August 1914, as Britain went to war with Germany, the banker Bruno Schröder rushed to become a British subject. He ran J. Henry Schröder and Company, one of the most respected houses in the City, but he had never given up his German citizenship, and the law now treated him as an enemy alien, a citizen of an enemy country living in Britain. Unless he naturalised, meaning became British by application, the government could seize his firm. The London Gazette records his oath of allegiance on 7 August 1914, three days after war was declared, entered plainly as "Schroder, Rudolf Bruno, Germany, Banker, 35 Park Street, London" (London Gazette 1914a). The firm survived (Roberts 1992).

It is a strange story when you think about it: a man could run a central London bank for decades and still become a suspect overnight. That is the puzzle this paper starts from. We usually tell the City's history as outsiders let in slowly: foreign families arrive, prove themselves, and are accepted. Schröder's rush to the naturalisation office suggests the opposite, that men like him were already deep inside the City, and that the line between insider and outsider was drawn from outside by politics, and it happened fast.

It is worth saying briefly why I chose this topic. The Schröder story is what got me interested first, because

it seemed strange that a banker could be forced to swear an oath three days into a war just to keep his firm. It made me think about how a label like foreign can change someone's life even when it says nothing about what they have actually done, which is something people still argue about today. I also wanted a question I could test against real records instead of just retelling what other books say, and the Bank's ledgers let me do that. The period interested me too, since the years before 1914 were a very open time for international finance, and I wanted to see how much that openness was really worth once the war put it under pressure.

This paper asks a simple question: were the City's foreign origin banking houses, the ones I call *émigré* houses, actually outsiders? An *émigré* house is a firm founded by a family from abroad, say German, Greek, Indian, or American. To answer it I do not rely on memory or reputation but on the Bank of England's records of who actually borrowed from it in past crises.

My argument has two parts. First, the records show these houses were not outsiders at all: across 1857, 1866, and 1914 they were a steady, trusted minority of crisis lending who behaved, by every measure the ledgers allow, like insiders. Second, the "foreign" label that fell on some of them in 1914 came not from the market but from the state and public opinion during the war. The two sources tell opposite stories about the same people.

This project sits beside a separate study, by a classmate, asking whether the Bank behaved like a modern lender of last resort in the same crises. That study is about the Bank's policy, and mine is about the people who came to its door and how some were made foreign. The rest of the paper lays out the background and sources, builds the case for integration up to 1914, then turns to the wartime reversal.

## 2. Background: the houses, the window, and the crises

Three things set up the argument: the houses, the window, and the crises.

**The houses.** Victorian London was the centre of world trade and money, and much of that business ran through private firms called merchant banks, or accepting houses. Their job was to put their name on a bill of exchange, a written promise to pay a sum on a future date, used to finance trade: when a house "accepted" a bill, it promised to pay if the original trader could not, which made the bill safe enough to buy and sell (Chapman 1984). Many of the most important were founded by families from abroad. The German and central European group was the largest, with Schröder and Huth from the German ports, Kleinwort from Holstein, and Rothschild from Frankfurt. There were also Greek houses such as Ralli Brothers, from Chios, Indian houses such as Cama and the firm of Dadabhai Naoroji, a Parsi from Bombay, meaning a member of the small Zoroastrian trading community of western India that played a large part in Bombay commerce under British rule, and American houses such as George Peabody and Company and J. S. Morgan. Historians have long called this mix the cosmopolitan City. The phrase points to a particular fact about late Victorian London. As the centre of world trade and the home of the gold standard, the system that tied the major currencies to gold and made London the place where the world settled its accounts, the City drew banking families from across Europe, the Mediterranean, the empire and the United States, and let them work at the heart of British finance rather than at its edges (Cassis 1994; Kynaston 1995).

**The window.** Banks and merchant houses did not only lend money. They also needed to borrow it, especially in a panic when everyone wanted cash at once. The lender of last resort in Britain was the Bank of England, and the place firms came to borrow was its discount window. To "discount" a bill meant to sell it to the Bank before its due date for a little less than its face value. The firm got cash now, the Bank the full amount later, and the difference was the interest. When a crisis hit, the firms that brought bills wrote their names into the record, and those records are what this paper uses. The idea that a central bank should lend freely in a panic, so sound firms do not fail for want of cash, is Bagehot's, from Lombard

Street (1873). Whether the Bank really followed it is my classmate's subject.

**The crises.** I study the three crises for which detailed lists of borrowers survive.

- 1857 began in the United States, with the failure of an Ohio bank, and spread to Britain through trade credit. The Bank's reserves fell sharply and the government suspended the usual rules on the note issue.
- 1866 followed the collapse of Overend, Gurney and Company, a huge discount house, on the day remembered as Black Friday, often seen as the century's worst London money market panic.
- 1914 was different in kind. It came from the outbreak of the First World War, not a single firm's failure, and pulled in the government, the banks, and the Stock Exchange at once.

A fourth famous crisis, the Baring crisis of 1890, when Baring Brothers nearly failed and was rescued by a fund the Bank organised, has no surviving ledger and sits outside my analysis. It is worth noting that Baring itself was an émigré house, with family roots in Bremen (Ziegler 1988), so even the firm being rescued had foreign origins.

### 3. Sources and method

This section sets out where my data comes from, what is in it, why it can answer the question, and where it is weak. There are two datasets behind the paper, one that already existed and one that I built myself, and to read the paper properly you need to tell them apart.

**Where the main data comes from.** The backbone is the Bank of England's historical dataset on lending of last resort, released with a Bank working paper (Anson, Bholat, Kang and Thomas 2017; Bank of England 2017). The Bank's staff went into the archive, found the handwritten ledgers from past crises, and typed them into a clean dataset anyone can download for free. I did not collect this data myself. My contribution is the analysis built on top of it.

**What is in the data.** The dataset includes transaction ledgers for 1857, 1866, and 1914. Each row is a single loan or discount the Bank made on a single day, recording the firm's name, the date, the amount, the interest rate, how much of the bill the Bank accepted and how much it rejected, and, for 1914, a note on whose account the bill really was. There are about 9,000 transactions in all, and these few columns are the raw material for almost every number in the paper: the shares, rankings, rejection rates, prices, and 1914 flows.

**What the data does not say, and the dataset I built to fix it.** The ledgers have one large gap: they give names, amounts, and rates, but nothing about where a firm came from. No nationality, no founding family, no origin, which is just what this paper needs, so I added it myself. I built a small biographical database, the origin register, with one row per house. For each I recorded its likely origin (German, Greek, Parsi, American, native British, and so on), its founder and founding year where I could find them, and its fate in the First World War, drawing on the standard histories of the City (Cassis 1994; Chapman 1984; Kynaston 1995; Jones 1993). Every row carries a confidence label, so a reader can see which entries are solid and which are my best guess from thin evidence. This register is the paper's original contribution and also its softest part, which is why I checked it against a public record.

**Checking the register against the public record.** Because the register began as my reading of secondary books, I checked its most important claims against a primary source anyone can open: The London Gazette, the official record of the British state, free and fully digitised back to the seventeenth century. The Gazette prints the official notices about firms, including naturalisations, partnership changes, liquidations, and the wartime orders that seized enemy property. A small script (`src/gazette_verify.py`) searched it for every house and saved the results for me to read by hand. This turned several secondary claims into primary ones. Bruno Schröder's naturalisation appears there with its exact date, and so do the

formal orders winding up the German bank branches under the Trading with the Enemy Acts, the wartime laws that made it a crime to do business with enemy nationals and let the state take over and sell their property. For the neutral houses, Danish Hambro and Dutch Blydenstein, no such order exists, which is the right test that they were spared. The full method, including the gaps I could not close, is written up in `notes/gazette_verification.md`.

**The wartime debates.** For Section 7 I use one more source, the debates of Parliament, from the official Hansard record between 1914 and 1918 (Hansard, various dates 1914 to 1918). These are the words politicians used about foreign banks during the war, and they let me compare what the Bank actually did with what politicians were saying.

**Linking names across crises.** The same house often appears under different spellings, partly from changes in the firm and partly because the old handwriting was hard to read when the ledgers were digitised. Schröder shows up as “J H Schroder,” “J.H.Schroder,” and even “S.N.Schroder.” Frühling and Goschen appears once as “Truhling and Goschen,” where the scanner read an F as a T. I wrote matching rules by hand to join these versions into single houses, so a firm can be followed from 1857 to 1914. This step is called entity resolution, the work of deciding when two slightly different names refer to the same thing.

**The methods, and why each one fits.** The project uses four kinds of analysis, in the order the course introduced them, each chosen to suit the source. The first is building a database and using simple descriptive statistics: shares of lending, average rates, and counts of which houses appear in which crisis. This fits because the ledgers are lists of amounts and rates, and shares and averages are the plain way to summarise them. The second is network analysis, used three ways: to ask whether the émigré houses formed a separate cluster, to trace how money flowed through London houses to the Bank in 1914, and to test whether the lending network changed after war was declared. This fits because part of the question is about grouping, whether the foreign houses sat apart, and a network is the natural tool for asking who clustered with whom. The third is text mining, used on the wartime debates in Section 7, and it fits because the reversal happened mostly in language, in words like alien and enemy repeated across many speeches. The fourth, underneath it all, is the database building itself, which historians call prosopography, the study of a group through the collected life facts of its members.

**Why this is the right source for the question.** The easy way to get the question wrong is to answer from reputation, by repeating what earlier historians wrote about who was inside the City and who was not. The Bank’s ledgers go deeper than reputation, because they record behaviour: what firms and the Bank actually did in a crisis, not what anyone said afterwards. If a house was truly kept at the edge, a record of who borrowed, how much, at what price, and whose paper was refused is where that exclusion would show up. Reading the ledgers and the debates together is the whole design: one measures economic behaviour, the other political status, and the argument is that the two pulled apart in 1914.

**How reliable all of this is.** No source is perfect, and four weak spots matter most. First, and most important, the ledgers only record firms that actually came to the Bank in a crisis. A house that did not borrow is simply absent, so every share I report is a share of crisis borrowing, not of the whole City. This selection effect is built into the source and limits what the paper can claim. Second, the ledgers were typed from old handwriting, and that copying is not flawless: the same house turns up under garbled spellings, and at least one name was misread by the scanner, so a few faint entries may still be wrong even after I repaired the names. Third, the origin register is my own work, assembled from secondary histories, so its softer rows are interpretations rather than facts. The confidence labels and the Gazette check exist because of this, but the low confidence rows should be treated as starting points that need more checking, and the origin buckets (German, Greek, Parsi, and so on) are coarse and hide real differences inside each group. Fourth, most houses appear only a handful of times, so this is a study of patterns and named cases rather than large statistical tests, and the one small model I run (Table 4) is only a rough check.

The parliamentary side has its own limit, since the debates mix general talk about enemy aliens with the narrower question of the banks, so the word counts capture the general mood more than any precise measurement. None of this sinks the argument, which rests on several independent signals that agree, but the numbers should be read as reasonable estimates. The figures and tables behind every claim are in the outputs folder, and the methods are documented so anyone can rerun them.

#### 4. The cast: who came to the window

The first result is simply who shows up. After tagging the ledgers, about 81 percent of all the money lent could be assigned to an identified house, and within that the émigré houses form a clear, recurring group. I found 45 distinct émigré houses across the three crises: German and central European above all, then Greek, then Indian, then American, with a few Dutch and Swiss firms as well.

Measured by the value of crisis lending, the émigré houses were a steady minority: about 12.5 percent of classified lending in 1857, 10.9 percent in 1866, and 15.1 percent in 1914 (Figure 1, Figure 2). The share should not be oversold, since in every crisis the British discount houses and clearing banks borrowed more in total. But it is not small, it is remarkably stable, and it is highest in 1914, on the eve of the reversal.

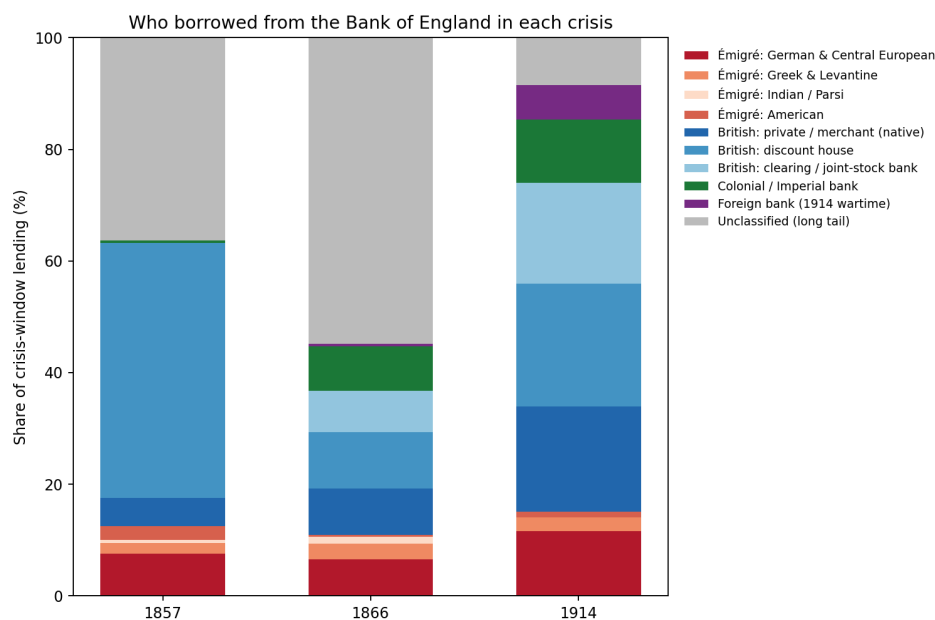


Figure 1: Share of crisis lending by origin group, 1857, 1866 and 1914.

Behind the share is a set of names that keep coming back. Six houses appear in all three crises: Frederick Huth and Company, William Brandt's Sons, Kleinwort, R. Raphael and Sons, Frühling and Goschen, and Ralli Brothers (Table 1). These did not drift in and out. They were present in 1857, in the Overend Gurney panic of 1866, and at the outbreak of war in 1914. A house that shows up at the Bank in panic after panic for nearly sixty years is no newcomer.

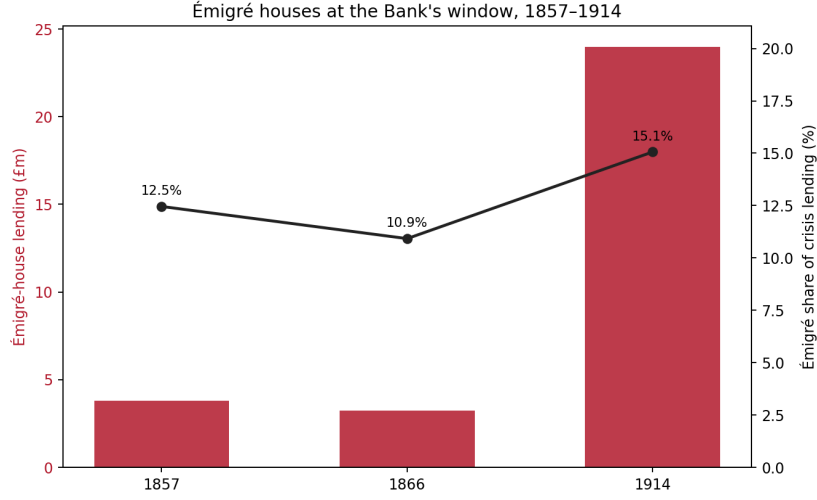


Figure 2: Émigré lending and its share of crisis lending across the three crises.

Table 1: The six émigré houses that borrowed from the Bank in all three crises.

| House                      | Origin                             | Crises present   | Total crisis lending (£) |
|----------------------------|------------------------------------|------------------|--------------------------|
| Frederick Huth & Co        | German (Stade/Hanover)             | 1857, 1866, 1914 | 1,530,683                |
| William Brandt's Sons & Co | German (Hamburg/Archangel)         | 1857, 1866, 1914 | 1,041,881                |
| Kleinwort, Sons & Co       | German (Holstein)                  | 1857, 1866, 1914 | 828,867                  |
| R. Raphael & Sons          | Sephardi Jewish (Dutch/Portuguese) | 1857, 1866, 1914 | 747,484                  |
| Frühling & Goschen         | German (Leipzig)                   | 1857, 1866, 1914 | 429,791                  |
| Ralli Brothers             | Greek (Chios)                      | 1857, 1866, 1914 | 417,758                  |

A few of the main players carry the argument. Schröder and Huth were among London's leading accepting houses for most of the century, Kleinwort grew into one of the largest, and Ralli Brothers ran a trading and banking network across the Mediterranean and India. The Indian presence matters too: the Parsi house of Cama appears in the ledgers, as does the firm of Dadabhai Naoroji, who would later sit in the House of Commons. These were major houses, close to the centre of British finance.

## 5. Insiders, not outsiders

If the émigré houses were really outsiders, the records should show it: small amounts, higher prices, or paper turned away more often than everyone else's. The ledgers show none of that. Four simple checks all give the same answer: the Bank treated these houses as trusted insiders.

**They lasted.** As Section 4 showed, six émigré houses borrowed in all three crises, and many others in two. Coming back to the Bank's window again and again for nearly sixty years is itself a sign of belonging, and outsiders do not build that kind of record.

**They were among the biggest names.** Showing up is not the same as being big. So I ranked every house by the value it borrowed in each crisis and looked at the top twenty. In 1857, twelve of the twenty largest borrowing houses were émigré firms (Table 3). The very top belongs to the big British discount houses, like Overend, Gurney and Company and Alexanders, whose whole trade was moving bills in bulk, but just below them the émigré names fill the table: Peabody, Raphael, Ralli, Huth, Cama, and Schröder. So this group sat high among the City’s largest borrowers, not at the margins. The émigré count in the top twenty then falls to six in 1866 and three in 1914. That looks like decline but is not: their share of all crisis lending actually rose to its highest in 1914 (Section 4). What changed is the company at the top, as a few very large clearing banks and discount houses came to borrow enormous single amounts and crowd the head of the ranking. The émigré houses had not shrunk. The banks next to them had just grown much bigger.

Table 2: The twenty largest borrowing houses in 1857. Twelve of the twenty (marked) are émigré firms.

| Rank | House                       | Origin       | Crisis lending (£) | Émigré |
|------|-----------------------------|--------------|--------------------|--------|
| 1    | Alexanders & Co (discount)  | Br discount  | 4,337,505          |        |
| 2    | Overend, Gurney & Co        | Br discount  | 4,321,777          |        |
| 3    | Bruce, Wilkinson & Co       | Br discount  | 2,239,567          |        |
| 4    | Sanderson, Sandeman & Co    | Br discount  | 1,781,120          |        |
| 5    | Glyn, Mills, Currie & Co    | Br private   | 835,987            |        |
| 6    | National Discount Co.       | Br discount  | 775,620            |        |
| 7    | Cunliffe Brothers           | Br private   | 609,292            |        |
| 8    | George Peabody & Co         | American     | 494,354            | yes    |
| 9    | Frith, Sands & Co           | Br discount  | 393,816            |        |
| 10   | Kraeutler & Mieville        | German/C.Eur | 259,096            | yes    |
| 11   | McCalmont Brothers & Co     | American     | 243,829            | yes    |
| 12   | R. Raphael & Sons           | Greek/Lev    | 221,312            | yes    |
| 13   | Suse & Sibeth               | German/C.Eur | 219,101            | yes    |
| 14   | Ralli Brothers              | Greek/Lev    | 207,489            | yes    |
| 15   | Frederick Huth & Co         | German/C.Eur | 206,428            | yes    |
| 16   | R. Heine, Semon & Co        | German/C.Eur | 186,550            | yes    |
| 17   | Cama & Co                   | Indian/Parsi | 186,057            | yes    |
| 18   | C. J. Hambro & Son          | German/C.Eur | 184,145            | yes    |
| 19   | J. Henry Schröder & Co      | German/C.Eur | 180,502            | yes    |
| 20   | Bischoffsheim & Goldschmidt | German/C.Eur | 142,119            | yes    |

**The Bank did not turn their paper away.** When a firm brought bills to discount, the Bank could refuse some if it doubted the names on them, and the ledgers record how much value was brought and how much rejected, so I can measure how often each kind of house was refused. Figure 3 shows the rejected share for the émigré houses, for all borrowers, and for the old English private banks, the small inner circle of the most established native firms. In every crisis the émigré houses were refused at or below the average for all borrowers: about 3.9 percent against 5.5 percent in 1857, 1.0 against 4.2 in 1866, and 4.4 against 4.5 in 1914. The Bank was not screening their paper harder than anyone else’s. The one group treated even more gently was the old English private banks, refused least of all. So the fair summary is that the émigré houses were well inside the Bank’s normal circle of trust, even if the old native banks were trusted slightly more.

**They paid no penalty for being foreign.** Last, price, the interest rate a house paid to borrow. The

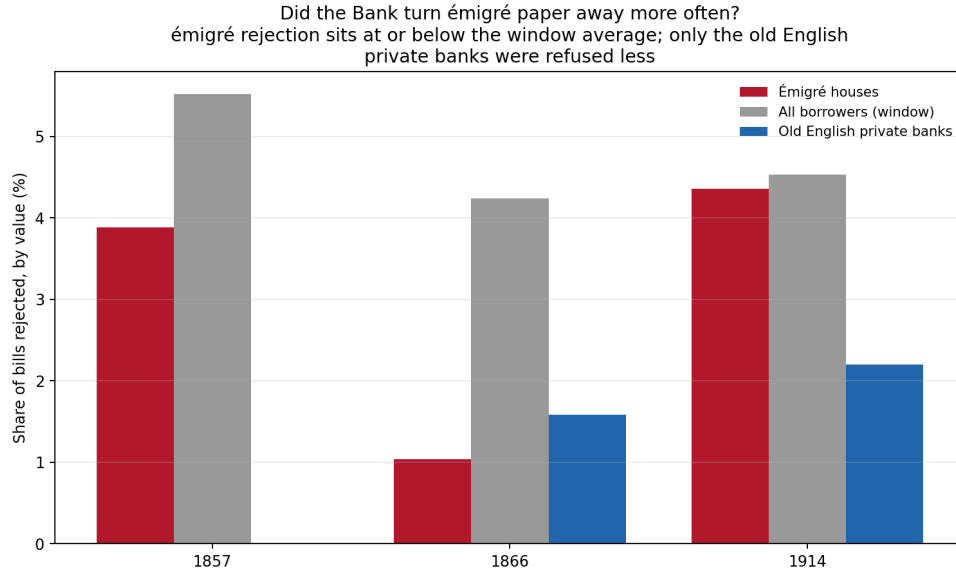


Figure 3: Share of bills the Bank rejected, by value. Émigré houses sit at or below the average for all borrowers in every crisis; only the old English private banks were refused less.

raw comparison actually favours the émigré houses: in every crisis they paid a little less on average than native British merchant houses (Figure 4). But raw averages mislead, because bigger houses get better rates and the émigré group held some very big houses. So I controlled for size, splitting the houses in each crisis into larger and smaller and comparing rates inside each band (Figure 5). Once size is held level the gap mostly disappears: a large émigré house and a large British house paid almost the same, and likewise among the smaller ones. A simple model per crisis confirms it (Table 4): once size is accounted for, the émigré part adds almost nothing. In 1914 the effect is about minus one hundredth of one percent, with a range sitting squarely on zero, and the other two crises tell the same story. This is not a special discount but the ordinary price for their size. There was no foreign surcharge. A market that distrusted them would have charged one.

Table 3: Each crisis: a house's mean rate explained by its size (log of total lending) and whether it was an émigré house. The émigré effect is the extra rate, in percentage points, that comes with being an émigré house once size is held level. In every crisis the 95 percent range includes zero, so the effect cannot be told apart from no effect at all.

| Crisis | Houses | Émigré effect on<br>rate (% points) | 95% range      | Size effect |
|--------|--------|-------------------------------------|----------------|-------------|
| 1857.0 | 37     | -0.59                               | -1.55 to +0.37 | -0.32       |
| 1866.0 | 36     | +0.34                               | -0.78 to +1.45 | +0.73       |
| 1914.0 | 52     | -0.01                               | -0.19 to +0.17 | +0.14       |

Together these checks overturn the framing the paper began with. By every measure the ledgers allow, the



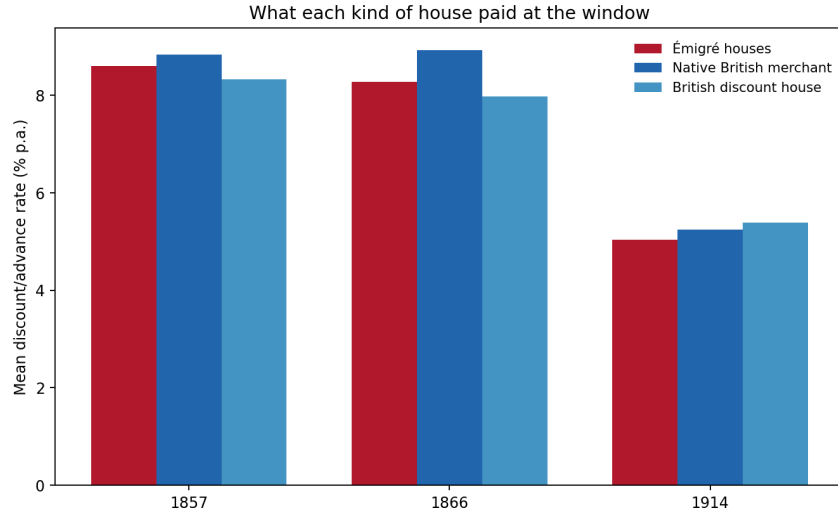


Figure 4: Average interest rate paid at the window, by type of house.



Figure 5: Interest rate against house size. Each point is a house in one crisis, sized by how often it borrowed and coloured by origin. Émigré houses (red) pay no more than British houses (blue) of the same size.

émigré houses were lasting, large, trusted with their paper, and charged the normal price. So the idea that they were slowly let in does not hold up, because they had been inside all along.

I tested the same point with a network. I drew a graph where each house is a point, and two houses are linked when they came to the Bank on the same ledger days often enough to suggest more than chance. This does not prove friendship or partnership, so I use it carefully. The point is only to ask whether the émigré houses sat in a separate cluster. Then I shuffled the origin labels 1,000 times across the same graph, keeping the houses and links fixed but the labels random. If the émigré houses formed an enclave, they should be linked to each other more than the shuffled versions. They are not: in the all crisis graph only about 4.4 percent of weighted links are émigré to émigré, below the shuffled average of 12.9 percent, while émigré to other links make up 27.8 percent (Figure 6). The network shows no foreign corner of the Bank's window. It shows the émigré houses mixed into the wider pattern of City borrowing.

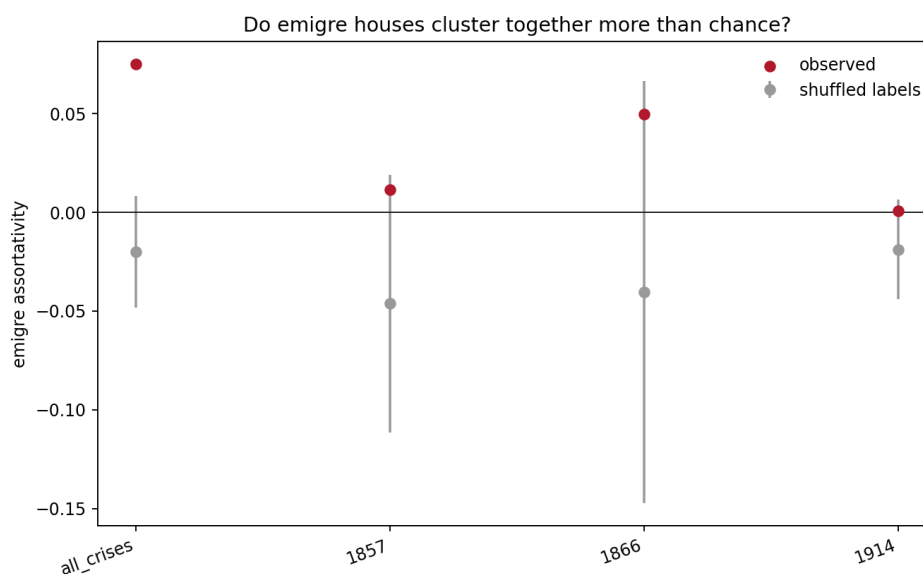


Figure 6: Network test for an émigré enclave. Red points show the real network score; grey points show the average after shuffling origin labels 1,000 times. The result does not show a separate émigré corner of the Bank's window.

## 6. 1914: London as the world's window

The émigré houses' integration reached its peak in 1914, right before the war ended it. The 1914 ledger has a column the earlier ones mostly lack: a note on whose account a bill really was. When a London house brought a bill to the Bank, it was often acting for someone else, frequently a bank in another country. This lets me draw a second network, tracing the flow of money from its foreign owner, through a London house, to the Bank of England (Figure 7).

About 76 percent of the value handled this way was for overseas banks and firms, not British ones. The largest flow came from France, above all from Crédit Lyonnais, whose business of about 5.7 million pounds passed almost entirely through one London house, Glyn, Mills, Currie and Company, on its way to the Bank. Smaller flows came from Russia, Germany, Egypt, and South America. In the autumn of 1914, then, the Bank of England was a discount window not just for Britain but for much of the world, with London's houses acting as the middlemen who brought foreign bills to the Bank. One caution: that largest channel

1914: how the world reached the Bank of England  
 overseas banks discounted through London houses — 76% of intermediated value was for foreign account

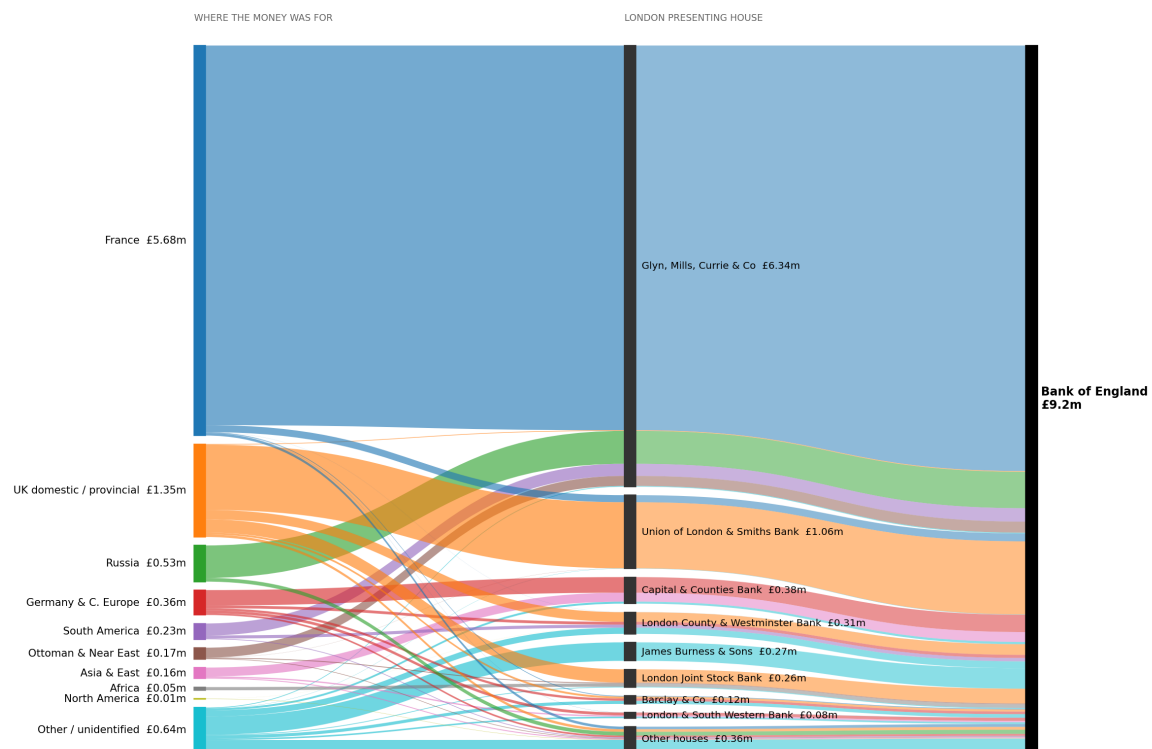


Figure 7: How the world reached the Bank of England in 1914: foreign account on the left, through a London house in the middle, to the Bank on the right. Ribbon width is value.

was a British house acting for a French bank, so the clearing role belonged to the City as a whole, not to the émigré houses in particular. The émigré point in 1914 is a different one, about size.

This was the peak of their integration. As Section 4 showed, the émigré houses' share of crisis lending was at its highest in 1914, about fifteen percent, just as London was doing its most international work. The cosmopolitan side of the City was not fading as the war began. It was as central as it had ever been. But within months, that same openness started to be seen as a danger.

## 7. The reversal: made foreign in 1914

The change does not appear in the Bank's ledgers, because the Bank kept lending and recording in the same way, a claim I test in Section 8. It appears in a different archive: the debates of Parliament. I collected eight debates from the Commons and the Lords between 1914 and 1918, on enemy aliens and German banks in London, and read them with text mining, the counting and searching of words across a body of text (Hansard, various dates 1914 to 1918).

The language in these debates is very direct. The words that dominate are alien, used 265 times, enemy, 171, and German, 166, followed by words like suspicion and naturalised (Figure 8). There is also a whole vocabulary of shutting down: trading with the enemy, the Public Trustee, sequestration, wound up, sold by auction. This is not the language of a market weighing who is creditworthy. It is political language, about who belongs.

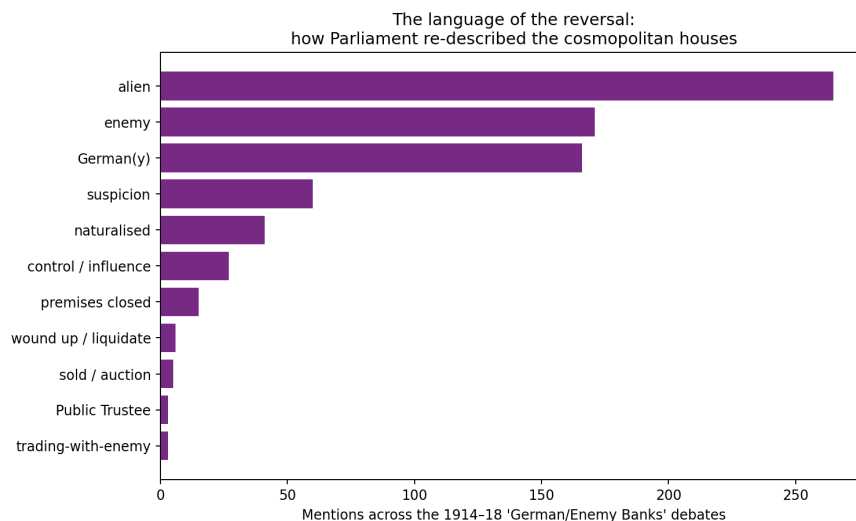


Figure 8: The vocabulary of the wartime debates on enemy aliens and German banks, 1914 to 1918.

The actions matched the words, and the official record shows it. The London branches of the big German banks, Deutsche Bank, Dresdner Bank, and the Disconto Gesellschaft, were placed under a government Controller and wound up under the Trading with the Enemy Acts. The Deutsche Bank and the Disconto Gesellschaft appear in the 1918 liquidation lists, and the Disconto Gesellschaft again in a Board of Trade order of 1921. The Dresdner Bank's affairs ran on under a Controller into the later 1920s (London Gazette 1918; London Gazette 1921; London Gazette 1928; Hansard, HC Deb 21 November 1916). Among the private houses, the German named firm of Frühling and Goschen was wound down and folded into Goschen and Cunliffe by 1920 (Kynaston 1995). Schröder survived only because Bruno Schröder naturalised at once, his oath sworn on 7 August 1914 (London Gazette 1914a; Roberts 1992). Huth and Kleinwort survived

too, though Huth declined and was finally wound up in 1936 (Chapman 1984).

Another important detail is who was spared. The neutral countries were left alone. C. J. Hambro and Son, whose family was Danish, and B. W. Blydenstein, whose roots were Dutch, were not treated as enemies, because Denmark and the Netherlands were neutral in the war (Table 2). The official record supports this simply by having nothing in it: no seizure or winding up order appears for either house, and a Hambro turns up instead in a wartime honours list, made a Commander of a state order while serving in a government ministry (London Gazette 1919). The line that fell across the City in 1914 was not between British and foreign at all. It was between Britain’s friends and Britain’s enemies in this particular war. A German name was now a danger, while a Danish one was not. This shows that the “foreign” label was political, tied to the war, and not a judgement about how these houses had behaved as bankers.

Table 4: Fate during the First World War of selected houses seen at the 1914 window. Wartime fates checked against the London Gazette where possible (see notes/gazette\_verification.md). Sources: origin register; London Gazette; Hansard 1916; Roberts 1992; Kynaston 1995.

| House                        | Origin                     | What happened in the war                                                                                                                            |
|------------------------------|----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| J. Henry Schröder & Co       | German (Hamburg)           | Bruno Schröder swore the oath of allegiance on 7 August 1914, three days into the war (London Gazette 1914a); the firm survived.                    |
| Frederick Huth & Co          | German (Stade and Hanover) | Survived the war but declined; finally wound up in 1936.                                                                                            |
| Kleinwort, Sons & Co         | German (Holstein)          | Partners naturalised; survived, later Kleinwort Benson.                                                                                             |
| N. M. Rothschild & Sons      | German Jewish (Frankfurt)  | Long established British branch; unaffected (the only enemy notice naming a Rothschild is a different, Continental person).                         |
| Frühling & Goschen           | German (Leipzig)           | The German named firm was wound down and merged into Goschen and Cunliffe by 1920 (Kynaston; not found in the Gazette).                             |
| C. J. Hambro & Son           | Danish (Copenhagen)        | Denmark was neutral; not treated as an enemy; survived. No seizure order in the record; a Hambro honoured in British service (London Gazette 1919). |
| B. W. Blydenstein & Co       | Dutch                      | The Netherlands was neutral; not treated as an enemy; survived. No seizure order in the record.                                                     |
| Deutsche Bank, London branch | German                     | Placed under a Controller and wound up under the Trading with the Enemy Acts; in the 1918 liquidation list (London Gazette 1918).                   |

| House                                | Origin | What happened in the war                                                                            |
|--------------------------------------|--------|-----------------------------------------------------------------------------------------------------|
| Dresdner Bank, London branch         | German | Placed under a Controller and wound up; affairs ran into the later 1920s (London Gazette 1928).     |
| Disconto Gesellschaft, London branch | German | Wound up by order under the Trading with the Enemy Acts, 1918 and 1921 (London Gazette 1918, 1921). |

## 8. Two archives, opposite stories

The main point of this paper is the gap between two records. The Bank’s ledgers, read with the database and network methods of Sections 4 to 6, show the émigré houses as insiders: persistent, large, trusted with their paper, most useful in 1914. The debates of Parliament, read with the text methods of Section 7, show some of the same houses as enemies and aliens within months of that peak. Both cannot describe outsiders slowly let in: one shows integration, the other exclusion, about the same people at almost the same time.

The contrast gets sharper if we watch both records in the same months. The 1914 ledger runs from July to December, straddling the declaration of war on 4 August. If the Bank had shared Parliament’s rising mood, we would see it here: the émigré houses turned away more often, charged more, or simply dropping out. None of that happens (Figure 9). They kept coming to the window right through the autumn, holding between about eleven and seventeen percent of the Bank’s lending every war month. The Bank did grow more careful once the panic hit, refusing more bills after August, but it did so for everyone at once: the émigré rejection share rose to the same level as for all borrowers, and émigré rates stayed at or below the average. So in the same weeks that members of Parliament were calling these houses enemies, the Bank was treating them as ordinary customers. The words and the actions did not match, and the ledger shows no sign of the reversal at all.

I also turned this into a network shock test. Instead of monthly totals, I split the 1914 ledger into three periods, the thirty four days before 4 August, the thirty four after it, and the later war months, and for each counted how many houses were active, how often they appeared, what share of value they held, and how much of their paper was rejected. The result is similar. The émigré share of classified value falls from 23.0 percent before the war to 16.5 percent in the first thirty four war days, yet their presence in the house day network rises from 13.8 to 21.7 percent, and their rejection rate, 3.3 percent, is close to the 2.8 percent for all classified houses (Figure 10). Later in the war, émigré rejection is 9.0 percent against 9.1 percent for all classified houses. The Bank’s network tightened after war began, but not in a way that singled the émigré houses out.

The way to hold both together is to see that they measure different things. The ledgers measure economic behaviour, which had made these houses central over many decades. The debates measure political status, which changed almost overnight when the war began. The “outsider” idea we started with mixes the two up, imagining a slow economic process of acceptance. What the sources show instead is a fast political exclusion that came after decades of economic inclusion. The houses did not earn their way in over a century and then slip out. They were in, and then they were pushed out, by forces that had nothing to do with banking.

This fits what historians have said about the cosmopolitan City, that it was unusually open to foreign talent before 1914 and that the war was a sharp break (Cassis 1994; Kynaston 1995). This is also where the project is digital history and not only history. The claim does not rest on a few well chosen quotations but on patterns across about nine thousand transactions and thousands of lines of debate, and those patterns

After war was declared, the Bank did not turn on the émigré houses

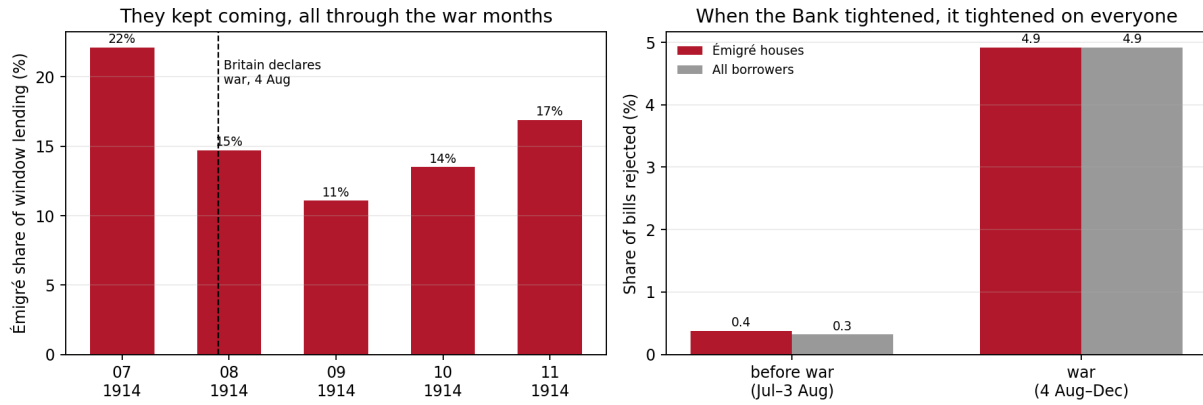


Figure 9: The Bank's treatment of émigré houses across 1914. Left: the émigré share of the Bank's lending each month, holding double digits right through the war. Right: the share of bills the Bank rejected before and after war was declared, for émigré houses and for all borrowers; the Bank grew more careful after August, but equally for everyone.

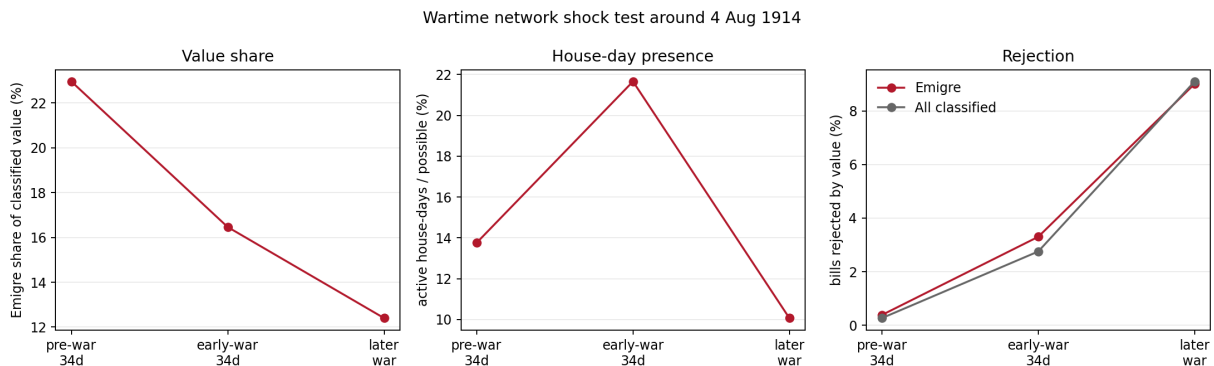


Figure 10: Wartime network shock test around 4 August 1914. The Bank's window changed after war began, but the change does not look like a targeted exclusion of émigré houses.

only become visible once the sources are turned into data and counted. What the digital methods add is a way to show that openness rather than just assert it, and to put numbers, even rough ones, on how far inside these houses sat. All of these strands support the same conclusion, and together they make the case hard to dismiss.

## 9. Conclusion

The City’s émigré houses were not outsiders waiting at the window to be let in. The Bank’s crisis records show them already inside, year after year, on good terms, and in the middle of the market. Their foreignness was not a fact about their banking. It was a label, applied suddenly in 1914 by a wartime state and an anxious public, and unevenly, falling on enemies and sparing neutrals. The title of this paper says they were “made foreign,” and that is the argument: it was done to them, at a particular moment, not something they slowly overcame.

The study has clear limits. It can only see firms that borrowed from the Bank, the origin labels are rough, and the wartime debates mix general talk about enemy aliens with the specific question of the banks. The next steps would be to check the register against naturalisation records, to follow the houses past 1918 to see who recovered, and to bring in the daily records of 1890 so the Baring crisis, itself the near failure of an émigré house, can join the comparison. But the main point would survive all of that. Two archives, the ledger and the debate, tell opposite stories about the same houses, and that gap is what this paper is about.

## Use of AI

I used two AI assistants in this project, OpenAI’s ChatGPT and Anthropic’s Claude, including Claude Code, a command line version of Claude that can read the files in a project and run code. I used them in five ways, set out below so that a reader can see where my own work ends and the tools begin.

1. **As a thought partner.** I described my idea and my plan in plain language and asked the models to point out weak spots, to suggest where open data archives might be, and to say whether a step was feasible. I treated what they said as suggestions to check, not as decisions.
2. **Dataset search.** Alongside my own searching of open archives, I gave ChatGPT a description of the record I needed, firm level crisis lending from the nineteenth century, and asked it to list candidate datasets and where to find them. It pointed me toward the Bank of England working paper and its dataset, which I then downloaded and read myself.
3. **Data processing.** I gave Claude the column layout of the ledger and described the spelling problem, and it helped me write the matching rules that join name variants into single houses. I checked the joins by hand against the raw names.
4. **Code debugging and generation.** The Python for the analysis and the code for the website were written in collaboration with Claude and Claude Code. A typical prompt was to paste an error message and the code that produced it and ask what was wrong, or to describe a chart I wanted and ask for a first version that I then edited.
5. **Grammar checking and final polish.** After I drafted the writing myself, I asked the models to fix grammar and to flag wording that was unclear or overdone. I made the final wording choices.

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## Glossary

- **Accepting house / merchant bank.** A private banking firm whose main business was to put its name on bills of exchange, promising to pay them, which made the bills safe to trade (Chapman 1984).



- **Alien / enemy alien.** A person living in Britain who was a citizen of another country. During the war, a citizen of an enemy country, such as Germany, became an enemy alien and faced special restrictions on travel, property, and business under the Trading with the Enemy Acts.
- **Bill of exchange.** A written promise to pay a sum of money on a future date, widely used to finance trade in the nineteenth century.
- **Clearing bank / joint stock bank.** A large ordinary bank owned by shareholders, such as Lloyds or Barclays, as opposed to a private merchant house.
- **Colonial / imperial bank.** A British owned bank that financed trade across the empire, such as the Chartered Bank of India or the Hongkong and Shanghai Banking Corporation. In this paper it is one of the origin groups borrowers are sorted into, distinct from the émigré houses.
- **Cosmopolitan City.** The idea that London before 1914, as the centre of world trade and the gold standard, was unusually open to foreign banking families, who came from across Europe and the empire and worked at the heart of British finance.
- **Discount house / bill broker.** A British firm that specialised in buying and selling bills of exchange in the money market. Overend, Gurney and Company was the most famous, and its collapse caused the 1866 crisis.
- **Discounting / the discount window.** Selling a bill to the Bank of England before its due date for slightly less than its face value, in order to get cash at once. The “window” is just the place where firms came to do this.
- **Émigré house.** My term for a banking firm founded by a family that came to Britain from abroad, for example from Germany, Greece, India, or the United States.
- **Entity resolution.** The work of deciding when two slightly different names (for example “J H Schroder” and “J.H.Schroder”) refer to the same firm, so they can be joined together.
- **Lender of last resort.** The institution, in Britain the Bank of England, that lends freely in a panic so that sound firms do not fail merely for lack of cash. The classic statement is Bagehot’s Lombard Street (1873).
- **Naturalise.** To become a British subject by application. Bruno Schröder did this in the first days of the war to save his firm.
- **Network analysis.** A way of studying relationships by drawing them as points (nodes) joined by lines (edges), and then measuring the shape that results.
- **Parsi.** A member of the Zoroastrian community of western India, descended from Persian migrants, which was prominent in the trade of Bombay and produced merchant families like the Camas who reached into the City of London.
- **Prosopography.** The study of a group of people through the collected life facts of its members. The origin register is a prosopography of the borrowing houses.
- **Public Trustee.** A government official who took over and sold the property of enemy firms during the war.
- **Sequestration.** The seizure of property by the state, here applied to enemy owned banks.
- **Text mining.** Searching and counting words across a body of text to find patterns, used here on the parliamentary debates.
- **Trading with the Enemy Acts.** The wartime laws (from 1914, amended through the war) that made it a crime to do business with enemy nationals and gave the state power to seize, run, and sell enemy owned firms. The orders that wound up the German banks in London were issued under these Acts.

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